TEACHER GUIDE DRAFT

Pearson BTEC Level 3 National Extended Certificate in Business (601/7159/5)

# Revenue, costs and profit



Unit 3: Personal and Business Finance

**E2 Costs; F1 Statement of comprehensive income**

A revision lesson. Pupils run a car dealership in firms of four and revise revenue, costs and profit on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

45-minute setting

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

30 min | **45 min** | 60 min | 75 min

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Variable unit cost

Round 1

Split the costs.

**Variable cost per car?**

| | |
|---|---|
| Total costs, a month | **£52,350** |
| Fixed costs, a month | **£4,750** |
| Cars sold | **4 cars** |

**ANSWER**

**£11,900**

(£52,350 − £4,750) ÷ 4 = £11,900

**Why:** Take the fixed costs off first. Then share the rest between the cars.

## 2 Why profit fell

Round 1

Revenue rose 10% this year, but profit fell.

**Which two could explain this?**

- **A** Variable costs rose faster
- **B** Overheads fell
- **C** Fixed costs jumped this year
- **D** Prices were raised
- **E** More cars sold at the same margin

**ANSWER**

**✓ Variable costs rose faster**
**✓ Fixed costs jumped this year**

**Why:** Profit falls when costs grow faster than revenue.

## 3 Statement in order

Round 2

You read your statement of comprehensive income from the top.

**Put these in order, top first?**

- **A** Revenue
- **B** Expenses
- **C** Gross profit
- **D** Profit for the year

**ANSWER**

**1. Revenue**
**2. Gross profit**
**3. Expenses**
**4. Profit for the year**

**Why:** Revenue less cost of sales is gross profit; less expenses is profit for the year.

# Topic tasks

## 4 Profit for the year

Round 2

Year-end figures.

**Profit for the year?**

| | |
|---|---|
| Revenue | **£149,700** |
| Cost of sales | **£61,000** |
| Expenses | **£48,000** |
| Interest paid | **£2,700** |

**ANSWER**

**£38,000**

£149,700 − £61,000 − £48,000 − £2,700 = £38,000

**Why:** Gross profit is £88,700; expenses and interest take it to £38,000.

## 5 Costs or revenue

Round 3

Revenue is £200,000 and costs £180,000. Raise prices so revenue rises 5%, or cut costs 5%?

**Which raises profit more, and why?**

**A** Cut costs by 5%

**B** Raise revenue by 5%

**ANSWER**

✔ **Raise revenue by 5%**

**Why:** 5% of £200,000 is £10,000; 5% of £180,000 is £9,000.

## 6 Profit next year

Round 3

Next year's plan.

**Profit next year? Minus allowed.**

| | |
|---|---|
| Revenue | **£105,000** |
| Revenue rises by | **20%** |
| Costs | **£66,000** |
| Costs rise by | **25%** |

**ANSWER**

**£43,500**

£126,000 − £82,500 = £43,500

**Why:** Revenue and costs both change. Work out each new figure first.

# Final questions

Each pupil answers 6 final questions on revenue, costs and profit. They come from these 11 questions.

Then each pupil writes one short answer: “Evaluate cutting costs or raising price to grow profit.”

1 A car supermarket records revenue of £1,260,000 and cost of sales of £945,000. What is its gross profit?

✔ **£315,000**

2 A workshop pays £12,000 monthly rent plus £35 for each safety inspection completed. Which cost description is correct?

✔ **Rent is fixed in the relevant range; inspection cost is variable**

3 A workshop pays £14,000 a month in rent and salaries plus £38 of parts per service. With 250 services, what are total costs?

✔ **£23,500**

4 A dealer pays sales staff a basic monthly wage plus commission on each car sold. How is this staff cost best described?

✔ **Semi-variable: a fixed and a variable part**

5 A dealership's accountant produces a statement of comprehensive income for the year just ended. What does that statement show?

✔ **Income and costs over the period, ending in profit or loss**

6 A workshop has fixed costs of £18,000 a month and variable costs of £60 per service. With 300 services, what are total costs?

✔ **£36,000**

7 A dealer’s month: revenue £84,000, fixed costs £25,000, variable costs £41,000. What is the profit?

✔ **£18,000**

8 A dealer sells 40 cars at £9,500 each. Each car cost £8,200 and fixed costs are £30,000. What is the month’s profit?

✔ **£22,000**

9 Which cost of a dealership is a variable cost?

✔ **Fuel to prepare each car sold**

10 A repair chain’s total costs are £240,000 for 400 services. What is the average (unit) cost of a service?

✔ **£600**

# Final questions

**11** A dealer’s revenue is £1,000,000, cost of sales £820,000 and other expenses £110,000. What is gross profit?

✔ **£180,000**